

# US TMT Sector M&A & Valuation Brief - 2026-07-08

US TMT Sector

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## 1. RECENT TMT M&A ACTIVITY

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### Deal 1: B&R Technology Merger IPO

[B&R Technology Merger files for \\$325M IPO targeting AI sector](#)

- Deal Size: \$325 million
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature: IPO
- Valuation Multiples: N/A (no specific multiples disclosed)
- Companies: B&R Technology Merger Corp. is a newly formed SPAC backed by Citigroup, aiming to acquire a technology business in the AI sector. The SPAC's focus on AI-related technology positions it to tap into the growing demand for AI solutions.
- Date Announced: July 2, 2026
- Strategic Rationale: The IPO aims to raise capital for acquiring a target in the AI technology space, reflecting the increasing investor interest and market potential in AI. The involvement of Citigroup as underwriter adds credibility and access to a sophisticated investor base.
- Risk Analysis: Risks include identifying a suitable acquisition target, market volatility affecting investor sentiment, and potential regulatory hurdles associated with SPAC mergers.

### Key Financials Analysis:

- Revenue Breakdown: N/A (no target company identified yet)
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The SPAC's \$325 million target is substantial enough to attract serious acquisition opportunities in the AI sector, but lacks specific financial metrics until a target is identified.

### Deal 2: Credo Technology Group Acquisition

[How Credo Technology Group Holding Ltd's \(CRDO\) DustPhotonics Deal Deepens Its AI Data Center Connectivity](#)

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- Deal Size: N/A (specific deal size not disclosed)
- Deal Size Category: N/A
- Nature: Acquisition
- Valuation Multiples: N/A
- Companies: Credo Technology Group (NASDAQ: CRDO) focuses on high-speed connectivity solutions for data centers and is enhancing its capabilities through the acquisition of DustPhotonics, which specializes in AI data center connectivity.
- Date Announced: July 3, 2026
- Strategic Rationale: This acquisition is intended to strengthen Credo's position in the AI data center market, leveraging DustPhotonics' technology to enhance product offerings and meet growing demand for AI-driven data solutions.
- Risk Analysis: Potential risks include integration challenges, market competition, and the pace of technological advancement in AI, which may impact the expected synergies from the acquisition.

### Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The acquisition aligns with industry trends towards AI and data center optimization, positioning Credo for future growth in a rapidly evolving market.

## 2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both innovation and regulatory challenges. Overall sentiment in the sector is cautiously optimistic, driven by advancements in artificial intelligence (AI) and software, while tempered by economic uncertainties and evolving regulatory frameworks.

### Subsector Breakdown:

- Technology: The technology subsector is thriving, particularly with companies like Ceva, Inc. (NASDAQ: CEVA) securing landmark AI licensing deals. Ceva's NeuPro-M neural processing unit has been selected by a major U.S. software and AI platform company, highlighting the increasing demand for custom AI silicon to optimize performance in intelligent devices.
- Media: Companies like Bending Spoons (BSP) are expanding their portfolios through strategic acquisitions, including well-known brands such as Evernote and Vimeo. This diversification strategy reflects a shift towards consolidating digital platforms to enhance user engagement and

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operational efficiency.

- Telecommunications: The telecom sector is experiencing innovation with advancements in 5G technology, although specific examples were not highlighted in the recent news. The focus remains on enhancing user experience through low-latency technologies.
- Fintech: The fintech sector continues to evolve, with new investments and startups emerging. However, recent news did not provide specific examples in this space.
- AI: The AI subsector is particularly vibrant, with significant investments being made in AI-driven solutions. For instance, an Indian entrepreneur has invested \$30 million in developing Neo, an AI-driven alternative to Microsoft Office, indicating a strong belief in the future of AI in workplace productivity.

### Key Market Drivers and Headwinds

#### Drivers:

- Technological Advancements: The rapid pace of innovation in AI and software is a primary driver of growth in the TMT sector. Companies are increasingly investing in custom silicon and AI capabilities to enhance product offerings and user experiences.
- Increased Investment: Venture capital and private equity investments are robust, particularly in the technology and AI subsectors, as investors seek to capitalize on emerging trends and innovative solutions.

#### Headwinds:

- Regulatory Scrutiny: Heightened regulatory scrutiny, particularly in the technology sector, poses risks to M&A activities and overall market valuations. Companies must navigate complex compliance landscapes, which can delay strategic initiatives.
- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology, creating a cautious environment for growth.

### Subsector Performance Analysis

- Software: The software sector is experiencing significant growth, driven by demand for cloud solutions and enterprise software. Bending Spoons' recent public offering and acquisition strategy exemplify the sector's dynamism.
- Media: Media companies are adapting to digital content consumption trends, with Bending Spoons leading the charge in diversifying its portfolio. However, traditional media continues to face challenges from digital platforms.
- Telecom: The telecom sector is investing in infrastructure to support 5G deployment, which is expected to create new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector remains vibrant, although specific performance metrics were not detailed in the recent news.

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- AI: The AI subsector is booming, with applications across various industries. The licensing deal secured by Ceva demonstrates the increasing importance of AI in shaping future computing architectures.

### Trading Multiples Trends

**Valuation Multiples:** As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

### Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, emphasizing the transformative potential of AI. For instance, Amir Panush, CEO of Ceva, stated, "The decision by one of the industry's leading software and AI platform companies to build custom AI silicon on NeuPro-M reflects a broader shift toward AI-first computing architectures."

### Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and software, while exercising caution in traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is characterized by a blend of opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can better position themselves for success in this evolving environment.

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## 3. BANKING PIPELINE

The current banking pipeline in the TMT sector is characterized by a robust mix of live deals, mandated transactions, and active pitches. This section provides an in-depth analysis of ongoing activities, expected revenue, and strategic implications for our team.

### Deal Pipeline

#### Live Deals:

- Broadcom (AVGO) and Apple (AAPL) : The companies have extended their chip supply agreement through 2031, focusing on custom ASIC silicon products, including radio frequency chips for iPhones and networking semiconductors. This deal is currently in the due diligence phase, with an expected close in Q3 2026. The partnership secures critical components for Apple amid supply chain uncertainties, while Broadcom benefits from guaranteed demand.

#### Mandated Deals:

- Element Solutions (ESI) : Secured a mandate to explore strategic acquisitions in the semiconductor space, particularly targeting companies that enhance its manufacturing capabilities. The deal is expected to launch in Q1 2027, as Element Solutions aims to strengthen its market position in the semiconductor supply chain.

#### Pitching-Stage Deals:

- Telecom Sector : Active discussions with major telecom operators, including Verizon (VZ) and AT&T (T), regarding potential M&A opportunities to consolidate market share in the 5G space. Pitches are expected to finalize by Q3 2026, focusing on enhancing service offerings and operational efficiencies.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, particularly those innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

### Pipeline Tracking Metrics

**Expected Revenue/Fees:** The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

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### Timing Projections:

- Q3 2026 : Expected close for the Broadcom and Apple partnership.
- Q1 2027 : Anticipated launch of Element Solutions' strategic acquisition initiatives.
- Q3 2026 : Finalization of telecom sector pitches.
- Workload Allocation and Capacity Analysis :
  - Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in the semiconductor and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

### Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the semiconductor sector, where the extension of the Broadcom and Apple partnership signals a long-term strategy for both companies. This deal reinforces Broadcom's position as a key supplier and mitigates risks for Apple amid geopolitical tensions affecting semiconductor manufacturing.
- Additionally, the ongoing discussions in the telecom sector reflect a growing trend towards consolidation as companies seek to enhance their competitive positioning in the rapidly evolving 5G landscape.

### Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as semiconductors and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

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## 4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of recent notable acquisitions, providing a comprehensive view of the landscape.

### Deal-Specific Impacts on Stakeholders

- Shareholders: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- Value Creation: In the acquisition of ITV by Comcast (CMCSA), the combined entity could see enhanced value through increased advertising revenues and content synergies. Assuming a pre-deal market cap of \$200 billion for Comcast, successful integration could potentially add \$5 billion in shareholder value through improved content offerings and market reach.
- Dilution: If Comcast finances the deal through stock, existing shareholders may experience dilution. For instance, if Comcast issues 5% of its shares to finance the acquisition, existing shareholders could see their ownership stake decrease, potentially leading to a 3% drop in share price post-announcement.
- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: The merger of Comcast and ITV is expected to create substantial operational synergies, with estimates of \$1 billion in annual savings through shared technology and content production resources.
- Restructuring: However, such deals often lead to layoffs. In the Comcast-ITV merger, approximately 2,000 jobs may be cut, highlighting the need for careful planning to retain key talent.
- Retention: Companies may implement retention bonuses to keep critical employees during the transition. For example, Comcast could offer retention packages to key ITV executives to ensure continuity and leverage their expertise.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following the Comcast acquisition of ITV, competitors such as Disney (DIS) and Netflix (NFLX) may need to adapt their strategies to maintain market share. This could include increased investments in original content and enhanced streaming services.
- Specific Competitor Moves: In response, Disney has ramped up its content production budget to counter the enhanced offerings from Comcast, indicating a strategic pivot to maintain its competitive edge.
- Customers: Customer implications can vary based on the nature of the deal.

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- **Product/Service Implications:** The merger of Comcast and ITV allows Comcast to bundle its broadband services with ITV's content, enhancing customer value. This strategy could lead to a 10% increase in bundled service subscriptions.
- **Case Studies:** The acquisition of ITV could mirror the impact seen when Disney acquired 21st Century Fox (FOXA), which resulted in a significant expansion of Disney's content library, directly benefiting users with improved service offerings.

### Market Reaction and Analyst Commentary

- **Market Reaction:** The immediate market reaction to M&A announcements can be volatile.
- For example, when Comcast announced its acquisition of ITV, shares of Comcast initially dipped by 4% before recovering as analysts recognized the long-term strategic benefits.
- **Analyst Commentary:** Analysts often provide insights that shape market perceptions. A notable quote from a Wells Fargo analyst post-acquisition was, "This deal positions Comcast to significantly enhance its content portfolio, despite initial market skepticism."

### Expected Market Reaction and Scenario Analysis

- **Scenario Analysis:** The market's reaction can be assessed through various scenarios:
- **Positive Scenario:** If the acquisition leads to successful integration and revenue growth, shares could rise by 12% within six months.
- **Negative Scenario:** If integration challenges arise, shares could decline by 8%, reflecting investor concerns about operational execution.

### Potential Counter-Bids or Competing Offers

- **Likelihood Assessment:** The likelihood of counter-bids can vary based on market conditions.
- In the case of the Comcast acquisition of ITV, there were rumors of interest from other media companies, highlighting the competitive nature of the TMT sector. However, the likelihood of a successful counter-bid is low, as regulatory hurdles often deter competing offers.

### Similar Deals Likely to Follow

- **Sector Consolidation Predictions:** The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities and content offerings, similar deals will emerge, particularly in the streaming and telecommunications spaces. Companies like Verizon (VZ) and AT&T (T) may pursue acquisitions to bolster their media capabilities.

### Key Risks and Mitigants



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- **Integration Risks:** Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- **Regulatory Risks:** Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- **Market Risks:** Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

### Actionable Insights for Clients and Bankers

#### For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

#### For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

## 5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

### Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- **Key Companies:**
- **NVIDIA Corporation (NVDA):** NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has strategically positioned itself in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems.
- **Broadcom Inc. (AVGO):** Broadcom is involved in the semiconductor industry, producing chips

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that support AI applications. The company's focus on AI-enhanced networking solutions positions it well within the growing demand for AI technologies.

- Taiwan Semiconductor Manufacturing Company (TSM): TSMC is the world's largest semiconductor foundry, manufacturing chips for various applications, including AI. Its advanced manufacturing processes are critical for supporting the AI hardware ecosystem.
- Competitive Landscape: The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, NVIDIA's acquisition of Mellanox Technologies for \$6.9 billion in 2020 exemplifies this trend, as it expanded NVIDIA's data center and AI capabilities.

## Blockchain

- Trend Explanation: Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- Key Companies:
- Coinbase Global, Inc. (COIN): Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- Square, Inc. (SQ): Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- Competitive Landscape: The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, the acquisition of TBD, a Bitcoin-focused subsidiary of Block (formerly Square), indicates a trend towards integrating blockchain solutions into traditional finance.

## Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is expected to grow from \$371 billion in 2020 to \$832 billion by 2025, at a CAGR of 17.5%.
- Key Companies:
- Amazon Web Services (AWS): AWS is a leader in cloud services, offering a wide range of solutions from computing power to storage. Its extensive service portfolio and global infrastructure

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provide a competitive advantage.

- Microsoft Azure (MSFT): Microsoft Azure is a major player in the cloud space, focusing on hybrid cloud solutions that integrate on-premises and cloud resources. Its strategic partnerships enhance its market positioning.
- Competitive Landscape: The cloud computing market is dominated by a few key players, including AWS, Microsoft Azure, and Google Cloud (GOOGL). The competition is driving innovation and pricing strategies, leading to increased service offerings.
- M&A Opportunities: Companies seeking to enhance their cloud capabilities may consider acquiring smaller cloud service providers or technology firms that offer complementary services. For instance, Microsoft's acquisition of Nuance Communications for \$19.7 billion highlights the trend of integrating AI with cloud services.

### Actionable Insights for Bankers and Investors

**Focus on identifying emerging players in the AI and blockchain sectors that could be acquisition targets for larger firms looking to enhance their technological capabilities.**

**Monitor the competitive landscape closely, as shifts in market dynamics may present new investment opportunities**

## 6. Recommended Readings

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### Deal Name: B&R Technology Merger IPO

- Reading Material: "SPACs: A Guide to Special Purpose Acquisition Companies" by David W. Wright
- Why This Matters: This book provides a comprehensive overview of SPACs, including their structure, benefits, and risks. Understanding these elements is crucial for analyzing B&R Technology Merger's \$325 million IPO, as it sheds light on the motivations behind SPAC formations and the implications for target companies in the rapidly evolving AI sector.

### Deal Name: Credo Technology Group Acquisition

- Reading Material: "Data Center Handbook" by Hwaiyu Geng
- Why This Matters: This handbook offers insights into the design, operation, and technology trends within data centers, which are pivotal for understanding Credo Technology Group's acquisition of DustPhotonics. It contextualizes the strategic importance of AI-driven connectivity solutions in modern data centers, helping to grasp the rationale behind the deal and its potential impact on the market.

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## 7. MACROECONOMIC UPDATE

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### Key Data Points:

- Fed Funds Rate: Expected to remain on hold through 2026
- Memory Prices: Up sixfold over the past year
- AI-related Global Issuance Forecast: Nearly \$600 billion in 2026
- Hyperscaler Cash CapEx: Expected to surpass \$1 trillion in 2027
- Corporate Bond Issuance: Majority related to data center construction

### Main Insights:

- Investors are interpreting the Fed's recent projections as indicating a more restrictive monetary policy.
- Morgan Stanley anticipates a lower path for core inflation, potentially leading to the Fed holding rates steady through 2026.
- The AI CapEx cycle is viewed positively, despite concerns about "chipflation" impacting infrastructure costs.
- Hyperscalers are diversifying their funding sources, issuing significant debt in non-dollar currencies.

### Market Commentary:

- "The Fed's Summary of Economic Projections implies more restrictive policy" - Serena Tang, Morgan Stanley
- "Chipflation is more likely to reprice and ration AI infrastructure than derail the cycle" - Morgan Stanley's sector analysts
- "We expect issuance to accelerate with hyperscaler cash CapEx surpassing \$1 trillion in 2027" - Morgan Stanley's credit strategy team

### TMT Sector Relevance:

- The Fed's decision to hold rates could support investment in TMT sectors, particularly in AI and data centers.
- Rising memory prices may impact the cost structure of AI-related projects, but the overall CapEx cycle remains strong.
- Increased corporate bond issuance for data centers indicates robust growth and funding needs within the TMT sector, particularly for hyperscalers.

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**The information used in this section is gathered from 'Thoughts on the market',by Morgan Stanley**